VA Servicing Purchase – Bankruptcy Testing Template

Monthly Operational Risk Testing | VA Regulatory Oversight

Testing Period	December 1, 2024 – December 31, 2024
Program	Veterans Affairs Servicing Purchase (VASP)
Test Population	VA-guaranteed mortgage accounts flagged for bankruptcy (active or discharged) that were evaluated for, offered, or completed a VASP loss mitigation option during the testing period
Regulatory Authority	VA Servicer Handbook M26-4, Chapter 9 (VA Servicing Purchase), Paragraphs 9.07(a)(2)(a) and 9.08(c)(3); 38 C.F.R. Part 36
Response Options	Yes (Pass) / No (Exception) / N/A (with documented rationale)

Test Question 1 – Evaluation of Borrowers in Active Bankruptcy

Test Question

For each sampled account in which the borrower was a debtor in an active bankruptcy proceeding at the time of the VASP evaluation, did the servicer evaluate the borrower for VASP and, before offering the VASP trial payment plan, obtain any approval required from the bankruptcy court and/or the bankruptcy trustee, and conduct the evaluation and all related borrower communications in accordance with applicable federal bankruptcy law and procedures, including the automatic stay?

Citation: *VA Servicer Handbook M26-4, Chapter 9, Paragraph 9.07(a)(2)(a).*

Exception Statement

The servicer failed to comply with VA Servicer Handbook M26-4, Chapter 9, Paragraph 9.07(a)(2)(a). For loan number [XXXXXXXXXX], the borrower was a debtor in an active Chapter [7/13] bankruptcy proceeding (Case No. [XX-XXXXX], filed [MM/DD/YYYY], [District]) at the time the servicer evaluated the account for the VA Servicing Purchase program. The servicer [offered the borrower a VASP trial payment plan on [MM/DD/YYYY] / failed to evaluate the borrower for VASP] without first obtaining the approval of the bankruptcy court and/or the bankruptcy trustee required to proceed with the loss mitigation option, and the servicing file contains no evidence that the servicer requested or received such approval or that its evaluation and borrower communications were conducted in accordance with applicable bankruptcy law and procedures. As a result, the servicer did not evaluate the borrower in the manner prescribed by VA for borrowers in active bankruptcy, exposing the borrower to potential harm and exposing the servicer to the risk of an automatic stay violation, an unenforceable loss mitigation agreement, and the potential rejection or reversal of the VASP purchase by VA.

Evidence to review: bankruptcy case docket/PACER record, bankruptcy referral and attorney notes, motion for approval of loss mitigation (or trustee consent), court order, VASP evaluation/decision record, trial payment plan offer letter and date, and servicing contact history.

Test Question 2 – Bankruptcy Requirements for the VASP Modification Agreement

Test Question

For each sampled account in which the borrower was in an active bankruptcy or had received a bankruptcy discharge of personal liability on the mortgage debt, did the servicer ensure that the VASP loan modification agreement satisfied the bankruptcy-specific requirements prior to execution and submission of the loan for VA purchase, including obtaining bankruptcy court approval of the modification where required, and including language in the modification agreement stating that the agreement does not reinstate or create personal liability for a debt that was discharged in bankruptcy?

Citation: *VA Servicer Handbook M26-4, Chapter 9, Paragraph 9.08(c)(3).*

Exception Statement

The servicer failed to comply with VA Servicer Handbook M26-4, Chapter 9, Paragraph 9.08(c)(3). For loan number [XXXXXXXXXX], the borrower [was a debtor in an active Chapter [7/13] bankruptcy proceeding (Case No. [XX-XXXXX]) / received a discharge of personal liability on the mortgage debt on [MM/DD/YYYY] (Case No. [XX-XXXXX])]. The VASP loan modification agreement executed on [MM/DD/YYYY] [was executed and the loan was submitted to VA for purchase on [MM/DD/YYYY] without the required bankruptcy court approval of the modification / did not contain language stating that the agreement does not reinstate or create personal liability for the discharged debt]. The servicing file contains no evidence that the servicer identified the borrower's bankruptcy status and applied the bankruptcy requirements to the modification documents prior to execution. As a result, the servicer did not complete the VASP modification in the manner prescribed by VA, creating a risk that the borrower was misled regarding personal liability for a discharged debt, a risk of violation of the bankruptcy discharge injunction or automatic stay, and a risk that the modification and resulting VA purchase are deficient or unenforceable.

Evidence to review: bankruptcy case docket and discharge order, executed VASP loan modification agreement (including bankruptcy/discharge disclaimer language), court order approving the modification (if applicable), VASP purchase submission record and date, and quality control checklist.

Tester Instructions and Note

Answer “Yes” only when the file contains documentary evidence of compliance. Answer “N/A” only when the bankruptcy condition in the question does not apply to the account (for example, no discharge of personal liability for Test Question 2), and record the reason. For each “No” response, fill in the bracketed fields in the exception statement with account-specific facts, keep only the bracketed option that applies, and delete the rest. Before this template is put into production, Compliance should confirm the test questions against the current text of M26-4, Chapter 9, Paragraphs 9.07(a)(2)(a) and 9.08(c)(3), including any changes made after December 2024, so that each question matches the paragraph's exact wording.